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FINALTERM EXAMINATION

Fall 2009

MGT503- Principles of Management (Session - 1)

Time: 120 min

Marks: 92

Which of the following is the latest concept in financial control?

- ▶ Economic Market Value
- ▶ Earning Market Value
- ▶ Financial Value Added
- ▶ **Economic Value Added**

Feed forward control is also called as:

- ▶ **Preliminary control**
- ▶ Post action control
- ▶ Output control
- ▶ Concurrent control

A ----- is a control system that relies on human discretion as a basic part of its process.

- ▶ Cyber control system
- ▶ **Non-cybernetic control system**
- ▶ Market control system
- ▶ None of the given option

----- is a tool for measuring corporate and divisional performance by calculating after-tax operating profit minus the total annual cost of capital.

- ▶ Market value added
- ▶ **Economic value added**
- ▶ Balanced Scorecard
- ▶ Benchmarking

All of the following are managerial roles identified in Mintzberg's Model EXCEPT:

- ▶ Informational
- ▶ Interpersonal
- ▶ **Functional**
- ▶ Decisional

When managers motivate employees, direct the activities of others and resolve conflicts, they are performing which of the following functions of management?

- ▶ Controlling
- ▶ Organizing

- ▶ **Leading**
- ▶ Planning

Who studied work to eliminate inefficient hand-and-body motions?

- ▶ Henri Fayol
- ▶ Frank and Lillian Gilbreth
- ▶ **Fredrick Taylor**
- ▶ Henry Towne

Low level management has a complete authority to make decisions in case of:

- ▶ Centralization
- ▶ **Decentralization**
- ▶ Scalar Chain
- ▶ Order

System approach recognizes that organizations are not:

- ▶ **Self-contained**
- ▶ Self-controlled
- ▶ Self-discipline
- ▶ Self-motivated

Mega environment is also called:

- ▶ Open environment
- ▶ Close environment
- ▶ Flexible environment
- ▶ **General environment**

Sony Corporation's focus on product innovation is an example of which of the following dimensions of organizational culture?

- ▶ Attention to detail
- ▶ People orientation
- ▶ Outcome orientation
- ▶ Aggressiveness

Which of the following deals with the need of a business to meet only basic economic and legal standards?

- ▶ Social responsibility
- ▶ **Social obligation**
- ▶ Moral obligation
- ▶ Social responsiveness

NAFTA was established by the Mexican, Canadian and U.S government on:

- ▶ August 12, 1990
- ▶ August 12, 1993
- ▶ **August 12, 1994**
- ▶ August 12, 1992

A society where there is relatively little job mobility and widely practiced lifetime employment would be an example of which of the following dimensions of national culture?

- ▶ Power distance
- ▶ **Uncertainty avoidance**
- ▶ Short- versus long-term orientation
- ▶ Individualism versus collectivism

A situation in which manager can make an accurate decision is called:

- ▶ **Certainty**
- ▶ Uncertainty
- ▶ Risk
- ▶ Factual

"No smoking allowed" is an example of which of the following?

- ▶ **Rule**
- ▶ Procedure
- ▶ Policy
- ▶ Plan

"Whenever possible, we promote from within" is an example of which of the following?

- ▶ Rule
- ▶ Procedure
- ▶ **Policy**
- ▶ Plan

Aisha uses a decision-making style characterized by low tolerance for ambiguity and a rational way of thinking. What style does Aisha use?

- ▶ Analytic
- ▶ Conceptual
- ▶ **Directive**
- ▶ Behavioral

A problem with groupthink is that no one is actually in charge of making the final decision or outcome, which results in:

- ▶ **Ambiguous responsibility**
- ▶ Role incoherence
- ▶ Role ambiguity
- ▶ Ambiguous delegation

Which of the following is NOT one of the three techniques for assessing the environment?

- ▶ **Project management**
- ▶ Benchmarking
- ▶ Forecasting
- ▶ Environmental scanning

Operational plans are normally associated with which of the following organizational level?

- ▶ Global level
- ▶ Corporate level
- ▶ Business level
- ▶ **Functional level**

Which stage of strategic management focuses on; “how the strategy is achieved”?

- ▶ Implementation stage
- ▶ **Evaluation stage**
- ▶ Realization stage
- ▶ Formulation stage

Which of the following is a system in which specific performance objectives are jointly determined by subordinates and their superiors and progress towards objectives is periodically reviewed?

- ▶ **Management by objective**
- ▶ Management by resources
- ▶ Management by authority
- ▶ Management by system

At the first step of goal setting a manager should:

- ▶ **Evaluate available resources**
- ▶ Review organization’s mission
- ▶ Write down goals
- ▶ Estimate expected benefits

In Pakistan China imported goods are available on very inexpensive price. These companies are practicing which of the following strategies?

- ▶ Focus Strategy
- ▶ Differentiation strategy
- ▶ **Cost leadership strategy**
- ▶ Emergent strategy

Which of the following is the collection of managerial decisions and actions that determine the long-run performance of an organization?

- ▶ **Strategic management**
- ▶ Goal-oriented management
- ▶ Planning
- ▶ Leadership

Which of the following is a document that summarizes the business strategy and structure?

- ▶ **Business plan**
- ▶ Letter of credit
- ▶ Article of association
- ▶ Memorandum

Ali has just been promoted to line manager for the assembling plant. Since Ali is now a manager, which of the following automatically also goes with the title of manager?

- ▶ Span of control
- ▶ Authority
- ▶ Acceptance by the employees
- ▶ Respect

Explicit job descriptions and clearly defined procedures are part of which of the following organizational design process?

- ▶ **Formalized**
- ▶ Process
- ▶ Centralized
- ▶ Functional

Which of the following is best described as, it is any business that is independently owned and operated and is not dominate in its market?

- ▶ Corporation
- ▶ Entrepreneurship
- ▶ **Small business**
- ▶ Strategic alliance

While making a business plan an entrepreneur cannot conduct market research until he:

- ▶ Develops legal plan
- ▶ Develops insurance plan
- ▶ Writes cover letter
- ▶ **Chooses product or service**

Which of the following is present in a Learning organization?

- ▶ Well-defined structure
- ▶ No leaders
- ▶ Unlimited autonomy
- ▶ A strong sense of community

Which of the following is the crucial element of team structure?

- ▶ **Employee empowerment**
- ▶ Faster decision-making
- ▶ Inexpensive to maintain
- ▶ Clear chain of command

Which of the following is a characteristic of an organic organization?

- ▶ Centralization
- ▶ High specialization
- ▶ High formalization
- ▶ **Free flow of information**

What was the focus of leadership studies in 1920s and 1930s?

- ▶ Charisma
- ▶ Tasks
- ▶ **Traits**

- ▶ Behaviors

Reinforcement theorists believe that behavior results from which of the following?

- ▶ **External consequences**
- ▶ Internal personality traits
- ▶ Setting high goals
- ▶ Intrinsic satisfiers

A leader who involves employees in decision making, delegates authority and allows employees to have direct input into the final decision is using which of the following leadership style?

- ▶ **Democratic-participative**
- ▶ Laissez-faire
- ▶ Autocratic
- ▶ Democratic-consultative

Women tend to use which of the following leadership style?

- ▶ Autocratic
- ▶ Laissez-faire
- ▶ Dictatorial
- ▶ **Democratic**

Asif's work team does its own hiring and scheduling and is even responsible for evaluating each other's performance. Asif is part of which of the following team?

- ▶ Problem-solving
- ▶ **Cross-functional**
- ▶ Self-managed
- ▶ Virtual

The supplies or raw materials needed to create a product are called:

- ▶ Outputs
- ▶ Investments
- ▶ Processes
- ▶ **Inputs**

Behavioral viewpoint emphasizes the need of understanding the various factors affecting the_____ in an organization.

- ▶ Social behavior
- ▶ Moral behavior
- ▶ Ethical behavior
- ▶ **Human behavior**

ABC Corp. has turned each of its divisions into profit centers and evaluates each division by the percentage of total corporate profits that it generates. It uses which of the following control?

- ▶ Accounting
- ▶ Bureaucratic
- ▶ **Market**
- ▶ Sector

Which of the following factor is more important for men than women?

- ▶ Opportunity to learn
- ▶ Flexibility
- ▶ **Autonomy**
- ▶ Convenience

The Walt Disney Company's movies, theme parks and television programs all benefit one another. Children who enjoy a Disney movie like LION KING want to go to Disney world and see lion king show. They benefit greatly from:

- ▶ **Negative Entropy**
- ▶ Synergy
- ▶ Transformation
- ▶ Entropy

According to Adam Smith, the division of labor results in:

- ▶ Increased worker's motivation
- ▶ Decreased worker's specialization
- ▶ **Increased worker's productivity**
- ▶ Decreased worker's motivation

R.H Restaurant aims to provide superior quality products to its customers and wants to be dominant in the food industry. This is an example of:

- ▶ Strategic goals
- ▶ Tactical goals
- ▶ Operational goals
- ▶ Functional goals

Mr. A wants to earn a master's degree within two years from a native university. Which of the following SMART objective Mr. A has missed while setting this goal?

- ▶ Time-bound
- ▶ Acceptable
- ▶ **Measurable**
- ▶ Specific

Which of the following is also known as strategy analysis?

- ▶ **SWOT analysis**
- ▶ External analysis
- ▶ Internal analysis
- ▶ Situation analysis

Which of the following involves selling or dissolving an entire organization?

- ▶ Divesture
- ▶ **Liquidation**
- ▶ Bankruptcy
- ▶ Harvest

Grouping of job activities is also known as:

- ▶ **Job design**
- ▶ Job specification

- ▶ Departmentalization
- ▶ Distributing authority

Some students are planning to form a group. They have decided to serve their community by creating the awareness among the people about the adverse effects of pollution. This group will be named as:

- ▶ Command group
- ▶ Functional group
- ▶ Task group
- ▶ **Interest group**

Which of the following is an example of a group that is formed by the employees themselves to serve the members' social needs?

- ▶ Cross functional group
- ▶ Command group
- ▶ Formal group
- ▶ **Informal group**

Which of the following characteristics of a group is helpful in determining the synergy level in a group?

- ▶ Group norms
- ▶ Group cohesiveness
- ▶ Group development
- ▶ **All of the given options**

Which of the following can be used as a medium of communication in the organizations?

- ▶ Manuals
- ▶ Meetings
- ▶ Face to face discussions
- ▶ **All of the given options**

Honda has decided to shift towards the higher efficiency rather than sales growth. For achieving such goal, some authorities were delegated to middle managers, which were previously held by top management. Honda has applied which of the following concept?

- ▶ Highly centralized
- ▶ Departmentalization
- ▶ **Decentralization**
- ▶ Centralization

Which of the following organizational structure has fewer hierarchical levels?

- ▶ Matrix Structure
- ▶ Divisional Structure
- ▶ **Flat Structure**
- ▶ Tall Structure

The way you use your hands relates to which of the following?

- ▶ **Emotional quotient**
- ▶ Intelligence quotient
- ▶ Technical quotient
- ▶ Emotional intelligence

According to Maslow's hierarchy of need which of the following is an external esteem need?

- ▶ Recognition
- ▶ Achievement
- ▶ Autonomy
- ▶ Self-respect

Mr. Ali, Production manager of Alpha Company has been assigned a task of completing an assignment in a specific time. Mr. Ali is assessing his efforts that will lead to the required level of performance. Mr. Ali is concentrating on which issue according to expectancy theory?

- ▶ **Effort- performance relationship**
- ▶ Performance- outcome relationship
- ▶ Performance- valence relationship
- ▶ All of the given options

Mr. Haris and Mr. Fahad are working equally but Mr. Haris is paid more than Mr. Fahad. Mr. Haris is being----- and Mr. Fahad is being-----.

- ▶ **Over rewarded, under rewarded**
- ▶ Under rewarded, over rewarded
- ▶ Rewarded, unrewarded
- ▶ Over rewarded, unrewarded

Ms. Teena works hard as she is looking for a good career growth. She desires to accept challenging tasks and excellence in her work. She meets which of the following needs of Acquired-Needs Theory?

- ▶ Need for power
- ▶ Need for achievement
- ▶ Need for success
- ▶ Need for affiliation

50 applicants had been interviewed for the post of financial analyst. Among these 50 people, 5 people had been short listed because they were holding diplomas of specialization along with the degrees required. They influenced the interviewer with which of the following powers?

- ▶ **Expert Power**
- ▶ Coercive Power
- ▶ Legitimate Power
- ▶ Reward Power

Leaders are those who-----:

- ▶ Do things right
- ▶ Do the right things
- ▶ **Both of the given options**
- ▶ None of the given options

According to Ohio State Studies, a leader will be more effective who is exhibiting;

- ▶ Low in initiating structure and low consideration
- ▶ **High in initiating structure and high consideration**
- ▶ Low in initiating structure and high consideration
- ▶ High in initiating structure and low consideration

- 1) What do you mean by learning organization? (3 marks)
- 2) Describe the relationship between group cohesiveness and productivity (5 marks)
- 3) Suppose you are a manager in 'Unilever Pakistan' and you have been assigned the task of conducting SWOT analysis of 'Unilever Pakistan'. What could be your findings after completing this task? (10 marks)
- 4) Describe any five technological methods of managerial communication. (10 marks)